Centre. It leads to mismatch between own source of revenue and required expenditure. To overcome this imbalance the constitution has mechanism for tax devolution from the Centre to the States and distribution of states' shares among all States. They are the Finance Commission, Goods and Service Tax Council and Parliament. These three institutions are vested with these responsibilities and powers. Now 80th and 101st amendments of the Constitution govern this mechanism.

Though various Finance Commissions were recommending the devolution of taxes they were bound by the constitutional provisions as to what are the taxes shareable between the Centre and the States. Not all the taxes were shareable. The taxes like the corporate income tax were not shareable between the Centre and the States. The states were demanding share in all taxes collected by the Centre. The 10th Finance Commission recommended for a constitutional amendment to enable sharing of all taxes. As per the recommendation 80th Constitutional amendment was brought in. From 11th Finance Commission tax devolution is recommended based on 80th amendment by sharing of all taxes.

The devolution of taxes between the Centre and the States is governed by the Articles 270, Article 268, Article 269 and 269A.

Devolution as per Article 270

The Article 270 says that all taxes and duties, referred in the Union list are shareable between Centre and the states except;

a. Stamp duties come under Article 268
b. Taxes come under Article 269
c. Taxes come under Article 269A
d. Surcharge and Cess

The share is decided by the Finance Commission.